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Commissioner Of Customs (Preventive) v. Aafloat Textiles India Private Limited And Others

Supreme Court Of India (Feb 16, 2009)

CASE NO.

Civil Appeal No. 2447 of 2007, decided on February 16, 2009

DISPOSITION

ALLOWED

JUDGES

- Dr. Justice Arijit Pasayat
- Justice Mukundakam Sharma

ATTORNEY

- P.V Shetty, Senior Advocate (Arvind K. Shukla, S.N Terdal, P. Narasimhan, B. Krishna Prasad and B.V Balaram Das, Advocates) for the Appellant;
- S. Ganesh and S.K Bagaria, Senior Advocates (V.M Doiphode, Rajesh Kumar, Tarun Gulati, Jaiveer Shergill, Kishore Kunal, Rony John, Praveen Kumar, M.P Devnath, Kumar Rajesh Singh, Manish Panda, Himanshu Shekhar, Arunabh Chowdhury, Arijit Bhaumik, Ms Ruby Singh Ahuja and Anupam Lal Das, Advocates) for the Respondents.

SUMMARY**Factual and Procedural Background**

The Department of Revenue Intelligence discovered that nine consignments of gold and silver imported by M/s Aafloat Textiles (India) Ltd. (formerly Akai Impex Ltd.) had been cleared on the strength of forged Special Import Licences (SILs). The Commissioner of Customs demanded duty of Rs 6,69,40,149 with interest, denied exemption under Notification No. 117/94-Cus., upheld liability to confiscation under Sections 111(d) and

111(o) of the Customs Act, 1962, and imposed penalties (equal duty on the importer, Rs 50 lakh on Shri Mahendra Shah, and Rs 25 lakh each on four others).

On appeal, the Customs, Excise and Service Tax Appellate Tribunal (CESTAT) set aside the demand and penalties solely on the ground that the extended limitation period under the proviso to Section 28(1) could not be invoked because the Revenue had not proved the importers' knowledge of the forgery.

The Union of India appealed to the Supreme Court, challenging CESTAT's limitation finding and its failure to decide the merits of the forged licences.

Legal Issues Presented

1. Whether forged SILs, being non-existent in the eye of law, justify invoking the extended limitation period under the proviso to Section 28(1) of the Customs Act, 1962.
2. Whether the burden lies on the importer (buyer) to show absence of knowledge and due diligence when relying on licences that turn out to be forged (application of the maxim *caveat emptor*).
3. Consequent validity of the Commissioner's duty demand, denial of exemption, and imposition of penalties and confiscation liability.

Arguments of the Parties

Appellant (Commissioner of Customs)

- The SILs are admittedly forged; therefore they are void ab initio and confer no rights.
- Fraudulently obtained or forged documents vitiate all proceedings; knowledge of the buyer is irrelevant to invoke the extended limitation period.
- CESTAT erred in treating "date of discovery of forgery" as irrelevant and in placing the burden on the Department.

Respondents (Importer and Other Noticees)

- The Department failed to establish that the importers had knowledge of or participated in the forgery.
- Mens rea is an essential ingredient for invoking the extended limitation period; without proof of knowledge, the demand is time-barred.
- CESTAT correctly concluded that limitation began from the date of import, not from the date of discovery of forgery.

Table of Precedents Cited

Precedent	Rule or Principle Cited	Application by the Court
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	For	
Dr Vimla v. Delhi Administration, AIR 1963 SC 1572	Definition of “ <i>fraud</i> ” – involves deceit and injury.	Illustrates that <i>fraud</i> encompasses deliberate deception causing legal detriment.
Indian Bank v. Satyam Fibres (India) Pvt. Ltd., (1996) 5 SCC 550	<i>Fraud</i> vitiates every act.	Supports the proposition that forged SILs are nullities.
S.P. Chengalvaraya Naidu v. Jagannath, (1994) 1 SCC 1	<i>Fraud</i> unravels every transaction.	Cited to reinforce that no benefit can arise from a forged document.
Ram Chandra Singh v. Savitri Devi, (2003) 8 SCC 319	<i>Fraud</i> and deception are synonymous; negligence may evidence <i>fraud</i> .	Used to underline duty of diligence expected from buyers.
Lazarus Estate Ltd. v. Beasley, (1956) 1 QB 702	“ <i>Fraud</i> unravels everything.”	Quoted to emphasise legal nullity of forged licences.
Shrisht Dhawan v. Shaw Brothers, (1992) 1 SCC 534	Concept of <i>fraud</i> in public law; abuse of statutory power.	Applied to show colourable use of forged licences to evade duty.
Roshan Deen v. Preeti Lal, (2002) 1 SCC 100	Continued reaffirmation of <i>fraud</i> principles.	Cited in the chain of authorities on fraud’s effect.
Ram Preeti Yadav v. U.P. Board, (2003) 8 SCC 311	<i>Fraud</i> vitiates solemn proceedings.	Relied upon for the same <i>fraud</i> doctrine.
Ashok Leyland Ltd. v. State of T.N., (2004) 3 SCC 1	<i>Fraud</i> in statutory contexts.	Supports extension of limitation where <i>fraud</i> suppresses facts.
Gowrishankar v. Joshi Amba Shankar Family Trust, (1996) 3 SCC 310	Suppression of material document amounts to <i>fraud</i> .	Analogous to using forged documents.
Derry v. Peek, (1889) 14 AC 337	Classical test of fraudulent representation.	Referenced in defining <i>fraud</i> and deceit.
State of A.P. v. T.	<i>Fraud</i> vitiates legal acts.	Further authority on the

Suryachandra Rao, (2005) 6 SCC 149		overarching <i>fraud</i> principle.
Bhaurao Dagdu Paralkar v. State of Maharashtra, (2005) 7 SCC 605	Reaffirmation that <i>fraud</i> nullifies legal proceedings.	Part of the cluster of recent cases emphasising <i>fraud</i> .
Khawaja v. Secretary of State for Home Dept., 1984 AC 74	<i>Fraud</i> in public/ statutory law differs from private law.	Used to delineate <i>fraud</i> relevant to statutory compliance.
Wallis v. Russell, (1902) 2 IR 585	Meaning of maxim <i>caveat emptor</i> .	Supports the allocation of risk to the buyer.
Bottomley v. Bannister, (1932) 1 KB 458	Buyer's risk for quality absent warranty.	Applied analogously to title documents (SILs).
Ward v. Hobbs, (1878) 4 AC 13	Scope of <i>caveat emptor</i> in sales.	Reinforces buyer's duty of due diligence.

Court's Reasoning and Analysis

1. The Supreme Court first noted that CESTAT had avoided deciding whether the SILs were genuine. The record, however, clearly showed that the licences were forged, a fact acknowledged even by the Tribunal.
2. Citing a long line of authorities, the Court reiterated that *fraud* “vitiates every solemn act” and that any transaction founded on a forged document is a nullity. Therefore, the forged SILs “had no existence in the eye of law”.
3. Because *fraud* was involved, the proviso to Section 28(1) of the Customs Act (extended five-year limitation) automatically applied. The Court rejected CESTAT’s view that the limitation period runs only from the date of import and that the Department had to prove the importers’ knowledge.
4. Applying the maxim *caveat emptor* , the Court held that the burden lay on the purchaser to satisfy itself about the genuineness of the SILs. If the importer failed to make reasonable enquiries, the legal consequences—duty, interest, penalty, and confiscation—must follow.
5. Consequently, once the forged nature of the SILs was established, no further enquiry into the importer’s knowledge or mens rea was required for limitation purposes. CESTAT’s contrary conclusion was termed “abrupt” and unsustainable.

Holding and Implications

Appeal Allowed. The Supreme Court reinstated the Commissioner’s demand of duty with

interest, denial of exemption, and the penalties assessed against the importer and individual noticees. No order as to costs.

Implications: The judgment clarifies that where import documents are forged, (a) the extended limitation under Section 28(1) is automatically attracted, and (b) the burden of due diligence rests with the importer under the principle of *caveat emptor*. The decision reinforces that *fraud* nullifies statutory privileges and that ignorance of forgery does not shield an importer from customs liability.

JUDGMENT

Dr. Arijit Pasayat, J.— Challenge in this appeal is to the order passed by the Customs, Excise and Service Tax Appellate Tribunal, West Zonal Bench at Mumbai (in short “Cestat”).

2. Challenge before Cestat was to the order of the Commissioner of Customs who confirmed the duty demand of Rs 6,69,40,149 on nine consignments of gold and silver imported by M/s Aafloat Textiles (India) Ltd. (formerly known as M/s Akai Impex Ltd.) under Section 28 along with appropriate interest under Section 28-AB of the Customs Act, 1962 (in short “the Act”). The benefit of exemption in terms of Notification No. 117/94-Cus. dated 27-4-1997 was denied and liability of the goods to confiscation under Sections 111(d) and (o) of the Act was upheld. But since the goods were not available, confiscation was not ordered. Penalty equal to duty amount on the importer under Section 114-A of the Act was imposed and Rs 50 lakhs was imposed on Shri Mahendra Shah and Rs 25 lakhs each on four other appellants before Cestat.

3. The case of the Department was that the special import licence (in short “SIL”) purchased by the importer from the brokers for clearance of gold and silver was forged and, therefore, was not valid for the consignments in question.

4. Background facts as emerging from the Commissioner's order are that the office premises of one M/s Gazebo and M/s Mahavir Corporation, were searched by officers of DRI and copy of SIL No. 3536539 dated 6-8-1997 issued to M/s Track Industries, Kanpur, was recovered. The Joint Director General of Foreign Trade, Kanpur informed that no such licence had been issued and that the signature and security seal of their Foreign Trade Development Officer had been forged.

5. The proprietor of M/s Gazebo, Shri R.T Shah stated on 19-1-1998 that he had purchased the above bogus SIL from one Shri Sushil Kumar Lohia who, in turn admitted that the SIL was given to him by one Shri Manoj Kumar Jain and that he had obtained several bogus SILs from one Naresh Sheth and Shri Dinesh Buchasia, whose residential premises were searched and certain documents were recovered and his statement was recorded, wherein he stated that he had dealt in only seven SILs which he bought at low premium from one Rajesh Chopra and that the SILs were forged.

6. Shri Shinivas Pannalal Kalantri, General Manager of the importer Company stated that

gold/silver had been imported under SIL during the years 1996-1997 and 1997-1998; that one M/s Lalbhai Trading Co. and two others were the clearing agents; that Shri Prakash Mohta of the Finance Department looked after the purchase of SILs.

7. The Chairman of the importer Company stated that he looked after negotiation and purchase of bullion and sale of bullion; that Shri Prakash Mohta looked after purchase of licences, clearance of goods, delivery, payment to supplier, etc. and that licence-brokers through whom SILs were purchased and whom he knew, were Mr Pachisia and Mr Ketan Shah.

8. The statement of Shri Prakash Mohta, was also recorded in which he confirmed that he was looking after purchase of SILs for import of bullion and subsequently selling them in the local market. Shri Mahendra Shah stated that he had sold bogus SILs to the importer Company. Shri Rasiklal Mehta stated that he and one Atul Garodia met one Shri D.R Gulati in Bombay who told them that he could provide bogus SIL for which he would charge 3% to 4% premium, that Shri Gulati used to provide bogus SILs and Shri Garodia used to sell them in market and give them a premium of 3%.

9. The demand was confirmed under the proviso to **Section 28(1) of the Act**. The stand of the Revenue that since the licences were forged and were void, the buyer cannot have better title than the seller. Cestat in appeal was of the view that the appeal could be disposed of only on the ground of limitation without going into the merits of the matter. It was observed that there was no evidence to show that the importer had knowledge about the SIL being non-genuine. It was also stated that the period of limitation is not to be reckoned from the date of discovery of the forgery. Accordingly, the demands including the penalty imposed were cancelled.

10. In support of the appeal, learned counsel for the appellant submitted that since the SIL involved was established to be forged there was no question of denying the extended period of limitation. Learned counsel for the respondents on the other hand submitted that the Department has not established that the buyer had knowledge about the forgery. The mens rea being one of the ingredients to avail extended period of limitation Cestat was justified in its conclusions.

11. As noted above, Cestat has not gone into the question whether the SIL involved was genuine or not. It was of the view that the Department has not established that buyer had knowledge that there was any forgery involved.

12. “29. ... [*fraud* ’ means] an intention to deceive; whether it is from any expectation of advantage to the party himself or from [the] ill will towards the other is immaterial. The expression ‘*fraud* ’ involves two elements, deceit and injury to the person deceived. Injury is something other than economic loss, that is, deprivation of property, whether movable or immovable, or of money and it will include any harm whatever caused to any person in body, mind, reputation or such others. In short, it is a non-economic or non-pecuniary loss. A benefit or advantage to the deceiver, will almost always call loss or detriment to the

deceived. Even in those rare cases where there is a benefit or advantage to the deceiver, but no corresponding loss to the deceived, the second condition is satisfied. [See *Vimla (Dr.) v. Delhi Admn.* [AIR 1963 SC 1572](#), 1963 Supp (2) SCR 585 and *Indian Bank v. Satyam Fibres (India) (P) Ltd.* [\(1996\) 5 SCC 550](#)]

30. A '*fraud*' is an act of deliberate deception with the design of securing something by taking unfair advantage of another. It is a deception in order to gain by another's loss. It is a cheating intended to get an advantage. (See *S.P Chengalvaraya Naidu v. Jagannath* [\(1994\) 1 SCC 1.](#))

31. '*Fraud*' as is well known vitiates every solemn act. *Fraud* and justice never dwell together. *Fraud* is a conduct either by letter or words, which includes the other person or authority to take a definite determinative stand as a response to the conduct of the former either by words or letter. It is also well settled that misrepresentation itself amounts to *fraud*. Indeed, innocent misrepresentation may also give reason to claim relief against *fraud*. A fraudulent misrepresentation is called deceit and consists in leading a man into damage by wilfully or recklessly causing him to believe and act on falsehood. It is a *fraud* in law if a party makes representations, which he knows to be false, and injury enures therefrom although the motive from which the representations proceeded may not have been bad. An act of *fraud* on court is always viewed seriously. A collusion or conspiracy with a view to deprive the rights of the others in relation to a property would render the transaction void ab initio. *Fraud* and deception are synonymous. Although in a given case a deception may not amount to *fraud*, *fraud* is anathema to all equitable principles and any affair tainted with *fraud* cannot be perpetuated or saved by the application of any equitable doctrine including res judicata. (See *Ram Chandra Singh v. Savitri Devi* [\(2003\) 8 SCC 319.](#))

32. '*Fraud*' and collusion vitiate even the most solemn proceedings in any civilised system of jurisprudence. It is a concept descriptive of human conduct. Michael Levi likens a fraudster to Milton's sorcerer, Comus, who exulted in his ability to 'wing me into the easy-hearted man and trap him into snares'. It has been defined as an act of trickery or deceit. In Webster's Third New International Dictionary '*fraud*' in equity has been defined as an act or omission to act or concealment by which one person obtains an advantage against conscience over another or which equity or public policy forbids as being prejudicial to another. In Black's Legal Dictionary, '*fraud*' is defined as an intentional perversion of truth for the purpose of inducing another in reliance upon it to part with some valuable thing belonging to him or surrender a legal right; a false representation of a matter of fact whether by words or by conduct, by false or misleading allegations, or by

concealment of that which should have been disclosed, which deceives and is intended to deceive another so that he shall act upon it to his legal injury. In Concise Oxford Dictionary, it has been defined as criminal deception, use of false representation to gain unjust advantage; dishonest artifice or trick. According to Halsbury's Laws of England, a representation is deemed to have been false, and therefore a misrepresentation, if it was at the material date false in substance and in fact. **Section 17 of the Contract Act, 1872** defines '*fraud*' as act committed by a party to a contract with intent to deceive another. From dictionary meaning or even otherwise, *fraud* arises out of deliberate active role of the representator about a fact, which he knows to be untrue yet he succeeds in misleading the representee by making him believe it to be true. The representation to become fraudulent must be of a fact with knowledge that it was false. In a leading English case i.e Derry v. Peek (1889) 14 AC 337, (1886-90) All ER Rep 1 (HL) what constitutes '*fraud*' was described thus: (AC p. 374)

'... *fraud* is proved when it is shown that a false representation has been made (1) knowingly, or (2) without belief in its truth, or (3) recklessly, careless whether it be true or false.'

But '*fraud*' in public law is not the same as '*fraud*' in private law. Nor can the ingredients, which establish '*fraud*' in commercial transaction, be of assistance in determining *fraud* in administrative law. It has been aptly observed by Lord Bridge in Khawaja v. Secy. of State for Home Deptt. 1984 AC 74, (1983) 2 WLR 321, (1983) 1 All ER 765 (HL), that it is dangerous to introduce maxims of common law as to effect of *fraud* while determining *fraud* in relation to statutory law. '*Fraud*' in relation to statute must be a colourable transaction to evade the provisions of a statute.

'20. ... "If a statute has been passed for some one particular purpose, a court of law will not countenance any attempt which may be made to extend the operation of the Act to something else which is quite foreign to its object and beyond its scope." **Present day concept of *fraud* on statute has veered round abuse of power or mala fide exercise of power.** It may arise due to overstepping the limits of power or defeating the provision of statute by adopting subterfuge or the power may be exercised for extraneous or irrelevant considerations. The colour of *fraud* in public law or administrative law, as it is developing, is assuming different shades. It arises from a deception committed by disclosure of incorrect facts knowingly and deliberately to invoke exercise of power and procure an order from an authority or Tribunal. It must result in exercise of jurisdiction which otherwise would not have been exercised. [The] misrepresentation must be in relation to the conditions provided in a section on existence or non-existence of which [the] power

can be exercised. But non-disclosure of a fact not required by a statute to be disclosed may not amount to *fraud*. Even in commercial transactions non-disclosure of every fact does not vitiate the agreement. “In a contract every person must look for himself and ensure that he acquires the information necessary to avoid bad bargain.” In public law the duty is not to deceive.’ (See *Shrisht Dhawan v. Shaw Bros.* [\(1992\) 1 SCC 534](#))

33. In that case it was observed as follows: (*Shrisht Dhawan case* [\(1992\) 1 SCC 534](#))

‘20. *Fraud* and collusion vitiate even the most solemn proceedings in any civilised system of jurisprudence. It is a concept descriptive of human conduct. Michael Levi likens a fraudster to Milton's sorcerer, Comus, who exulted in his ability to, “wing me into the easy-hearted man and trap him into snares”. It has been defined as an act of trickery or deceit. In Webster's Third New International Dictionary *fraud* in equity has been defined as an act or omission to act or concealment by which one person obtains an advantage against conscience over another or which equity or public policy forbids as being prejudicial to another. In Black's Law Dictionary, *fraud* is defined as an intentional perversion of truth for the purpose of inducing another in reliance upon it to part with some valuable thing belonging to him or surrender a legal right; a false representation of a matter of fact whether by words or by conduct, by false or misleading allegations, or by concealment of that which should have been disclosed, which deceives and is intended to deceive another so that he shall act upon it to his legal injury. In Concise Oxford Dictionary, it has been defined as criminal deception, use of false representation to gain unjust advantage; dishonest artifice or trick. According to Halsbury's Laws of England, a representation is deemed to have been false, and therefore a misrepresentation, if it was at the material date false in substance and in fact. **Section 17 of the Contract Act** defines *fraud* as act committed by a party to a contract with intent to deceive another. From dictionary meaning or even otherwise *fraud* arises out of deliberate active role of representator about a fact which he knows to be untrue yet he succeeds in misleading the representee by making him believe it to be true. The representation to become fraudulent must be of the fact with knowledge that it was false. In a leading English case *Derry v. Peek* (1889) 14 AC 337, (1886-90) All ER Rep 1 (HL) what constitutes *fraud* was described thus: (AC p. 374)

“... *fraud* is proved when it is shown that a false representation has been made (1) knowingly, or (2) without belief in its truth, or (3) recklessly, careless whether it be true or false.” ’

34. This aspect of the matter has been considered recently by this Court in *Roshan Deen v. Preeti Lal* [\(2002\) 1 SCC 100](#), *Ram Preeti Yadav v. U.P Board of High School and*

Intermediate Education [\(2003\) 8 SCC 311](#), Ram Chandra Singh case [\(2003\) 8 SCC 319](#) and [Ashok Leyland Ltd. v. State of T.N](#) (2004) 3 SCC 1

35. Suppression of a material document would also amount to a *fraud* on the court. (See Gowrishankar v. Joshi Amba Shankar Family Trust [\(1996\) 3 SCC 310](#) and S.P Chengalvaraya Naidu case [\(1994\) 1 SCC 1.](#))

36. ‘*Fraud*’ is a conduct either by letter or words, which induces the other person or authority to take a definite determinative stand as a response to the conduct of the former either by words or letter. Although negligence is not *fraud* but it can be evidence on *fraud*; as observed in Ram Preeti Yadav case [\(2003\) 8 SCC 311](#).

37. In Lazarus Estate Ltd. v. Beasley (1956) 1 QB 702, (1956) 2 WLR 502, (1956) 1 All ER 341 (CA) Lord Denning observed at QB p. 712,

‘... No judgment of a court, no order of a Minister, can be allowed to stand if it has been obtained by *fraud*. *Fraud* unravels everything.’

In the same judgment Lord Parker, L.J observed that *fraud* vitiates all transactions known to the law of however high a degree of solemnity. (p. 722)”

These aspects were highlighted in the State of A.P v. T. Suryachandra Rao [\(2005\) 6 SCC 149](#), (2005) 5 Scale 621 and Bhaurao Dagdu Paralkar v. State of Maharashtra [\(2005\) 7 SCC 605](#).

13. It was for the buyer to establish that he had no knowledge about the genuineness or otherwise of the SIL in question. The maxim caveat emptor is clearly applicable to a case of this nature.

14. As per Advanced Law Lexicon by P. Ramanatha Aiyar, 3rd Edn., 2005 at p. 721: Caveat emptor means “let the purchaser beware”. It is one of the settled maxims, applying to a purchaser who is bound by actual as well as constructive knowledge of any defect in the thing purchased, which is obvious, or which might have been known by proper diligence. “Caveat emptor does not mean either in law or in Latin that the buyer must take chances. It means that the buyer must take care.” (See Wallis v. Russell (1902) 2 IR 585 (CA), IR p. 615.)

15. “Caveat emptor is the ordinary rule in contract. A vendor is under no duty to communicate the existence even of latent defects in his wares unless by act or implication he represents such defects not to exist.” (See William R. Anson, Principles of the Law of Contract 245, Arthur L. Corbin, ed., 3d Am. Edn. 1919.) Applying the maxim, it was held that it is the bounden duty of the purchaser to make all such necessary enquiries and to ascertain all the facts relating to the property to be purchased prior to committing in any manner.

16. Caveat emptor qui ignorare non debuit quod jus alienum emit. A maxim meaning “let a purchaser beware; who ought not to be ignorant that he is purchasing the rights of another”. (Hob. 99; Broom; Co., Litl: 102 a: 3 Taunt. 439.) As the maxim applies, with certain specific restrictions, not only to the quality of, but also to the title to, land which is sold, the purchaser is generally bound to view the land and to enquire after and inspect the title deeds; at his peril if he does not.

17. Upon a sale of goods the general rule with regard to their nature or quality is caveat emptor, so that in the absence of *fraud*, the buyer has no remedy against the seller for any defect in the goods not covered by some condition or warranty, expressed or implied. It is beyond all doubt that, by the general rules of law there is no warranty of quality arising from the bare contract of sale of goods, and that where there has been no *fraud*, a buyer who has not obtained an express warranty, takes all risk of defect in the goods, unless there are circumstances beyond the mere fact of sale from which a warranty may be implied. (Bottomley v. Bannister (1932) 1 KB 458 (CA) and Ward v. Hobbs (1878) 4 AC 13 (HL)) (Latin for Lawyers). No one ought in ignorance to buy that which is the right of another. The buyer according to the maxim has to be cautious, as the risk is his and not that of the seller.

18. Whether the buyer had made any enquiry as to the genuineness of the licence within his special knowledge. He has to establish that he made enquiry and took requisite precautions to find out about the genuineness of the SIL which he was purchasing. If he has not done that, consequences have to follow. These aspects do not appear to have been considered by Cestat in coming to the abrupt conclusion that even if one or all the respondents had knowledge that the SIL was forged or fake that was not sufficient to hold that there was no omission or commission on his part so as to render silver or gold liable for confiscation.

19. As noted above, SILs were not genuine documents and were forged. Since *fraud* was involved, in the eye of the law such documents had no existence. Since the documents have been established to be forged or fake, obviously *fraud* was involved and that was sufficient to extend the period of limitation. In view of this finding the other issues raised by the respondent are of academic interest.

20. The appeal is allowed. There shall be no order as to costs.